



Public Competition Assessment

5 February 2025

Blackstone Group (HK) Limited - proposed acquisition of I'rom Group Co Limited

The ACCC's decision

1. On 20 December 2024, the Australian Competition and Consumer Commission announced its decision not to oppose the proposed acquisition of all of the shares of I'rom Group Co. Limited (**I'rom**) by funds managed or advised by Blackstone Group (HK) Limited or its related bodies corporate (**Blackstone**) (the **proposed acquisition**) after accepting a section 87B undertaking to divest CMAX Clinical Research Pty Ltd (**CMAX**) (the **Undertaking**).
2. The ACCC considered that the proposed acquisition, in the absence of the Undertaking, was likely to substantially lessen competition in contravention of section 50 of the *Competition and Consumer Act 2010* (the **Act**). Section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market. The ACCC considers that the Undertaking sufficiently addresses the competition concerns such that the proposed acquisition is unlikely to contravene section 50 of the Act.
3. Blackstone, through related bodies corporate, indirectly owns Nucleus Network Pty Limited (**Nucleus**) and I'rom owns CMAX. Nucleus and CMAX both provide phase 1 clinical trial services in Australia.
4. The ACCC considered the competitive effects of the proposed acquisition in the markets for:
 - the supply of phase 1 clinical trial services in Australia
 - the supply of contract research organisation (**CRO**) services in Australia.
5. Nucleus and CMAX are the two largest suppliers of phase 1 clinical trial services in Australia. Market feedback indicated that they are each other's closest competitor. The ACCC considered that the loss of competition between Nucleus and CMAX was likely to lead to the prices of phase 1 clinical trial services in Australia being higher and/or the quality of those services being lower, than they would be absent the proposed acquisition.

6. However, the ACCC considers that a divestiture of CMAX pursuant to the Undertaking will address its competition concerns with the proposed acquisition. This is because Nucleus and CMAX would not be under common ownership following the divestiture.
7. Please note that this and other public competition assessments are subject to the following qualifications:
 - The ACCC considers each transaction on a case-by-case basis and so the analysis and decision outlined in one assessment will not necessarily reflect the ACCC's view of another transaction.
 - As assessments are relatively brief and do not refer to confidential information, assessments do not necessarily set out all of the issues and information considered by the ACCC.

The parties and the transaction

The acquirer: Blackstone

8. Blackstone is one of the largest asset managers operating globally.
9. Relevant to the proposed acquisition, Blackstone indirectly owns Nucleus. Nucleus supplies phase 1 clinical trial services to biotechnology and pharmaceutical companies, based both in Australia and internationally. In Australia, Nucleus currently operates clinical units in Brisbane, Queensland and Melbourne, Victoria, as well as a satellite screening and outpatient clinic in Geelong, Victoria. Nucleus has 94 beds at its Melbourne clinic and 60 beds at its Brisbane facility. Nucleus has also announced that it intends to open a phase 1 clinical trial unit in Sydney, New South Wales.
10. Blackstone also has a majority interest in Precision Medicine Group, which operates the Precision for Medicine CRO. Precision for Medicine supplies clinical trial monitoring and management services to pharmaceutical and biotechnology companies and has operations in North America, Europe, Asia and Australia.

The target: I'rom

11. I'rom is a healthcare business based in Japan which specialises in the research and development of medicine and gene technology. I'rom provides services to medical institutions conducting clinical trials, including site management and CRO services.
12. In Australia, I'rom supplies phase 1 clinical trials through CMAX, and, to a limited extent, clinical trial services for other research phases through Fusion Clinical Research Pty Ltd (**Fusion**). Fusion administers late-stage clinical trials, which do not overlap with services provided by Nucleus and CMAX.
13. CMAX supplies phase 1 clinical trial services to biotechnology and pharmaceutical companies, in Australia and internationally. CMAX currently operates one clinical unit in Adelaide, South Australia, which has 78 beds.

The transaction

14. Blackstone, which indirectly owns Nucleus, proposes to acquire from which currently owns CMAX.

Market inquiries

15. The ACCC conducted market inquiries with a range of industry participants, including competitors, potential competitors, phase 1 clinical trial sponsors, CROs, industry bodies, other regulatory agencies and other interested parties.
16. The ACCC consulted on the potential competition issues associated with the proposed acquisition and obtained confidential information and documents from the merger parties.

Industry background

17. Clinical trials are an integral component in the regulatory approval of new therapeutic products such as medicines and medical devices. Clinical trials are generally conducted in phases with each phase having a different focus.
18. Phase 1 clinical trials involve medicine being administered in low doses to humans for the first time. Phase 1 clinical trials are generally conducted with healthy volunteers and are focused on testing the safety and tolerability of medicine.
19. Phase 1 clinical trials involving healthy volunteers are generally conducted in purpose-built clinical trial facilities. These facilities usually have an inpatient bed capacity, so that volunteers can be contained and monitored closely for a period after medication is administered. These facilities are equipped similarly to hospitals and are staffed by medical professionals with experience managing clinical trials.
20. CROs in Australia assist sponsors with selecting phase 1 trial sites, and overseeing trials that are being undertaken. Many international drug sponsors, particularly those with no existing Australian research and development operations, also rely on CROs with operations in Australia to act as an Australian sponsor, as having an Australian sponsor is a regulatory requirement to conduct clinical trials in Australia.
21. Market participants indicated that Australia is generally considered to have a favourable regulatory pathway for phase 1 clinical trials. The Clinical Trial Notification (**CTN**) scheme in Australia requires that drug sponsors wishing to carry out clinical trials in Australia obtain ethical approval from a Human Research Ethics Committee and then notify the Therapeutic Goods Administration (**TGA**) of their intent to carry out the trial. Trials can commence once they have been notified to the TGA without any formal approval being required. Market participants have indicated that the CTN scheme in Australia can enable trials to commence significantly faster than in other jurisdictions and that data gathered in Australian clinical trials is accepted by US and European regulators.

22. Australia offers a research and development tax incentive program (**R&D Tax Incentive**) which allows companies to claim tax offsets on eligible research and development activities.¹

Other phase 1 clinical trial service providers

23. Linear Clinical Research (**Linear**) is a phase 1 clinical trial service provider that was founded in 2010. Linear has a capacity of 32 beds across four clinics in Perth, Western Australia and operates as a not-for-profit organisation.
24. Scientia Clinical Research (**Scientia**) is a phase 1 clinical trial service provider that was founded in 2015. Scientia is based in Sydney, New South Wales and has a capacity of 30 beds. Scientia operates as a not-for-profit organisation.
25. Veritus Research (**Veritus**) and Doherty Clinical Trials (**DCT**) in Melbourne, Victoria, and Novatrials in Newcastle, New South Wales, have each recently commenced supplying phase 1 clinical trial services.
26. There are also several smaller providers of phase 1 clinical trial services in Australia. These providers are typically closely associated with hospitals or research institutions and complete a small number of trials per year.

Competition analysis in respect of the supply of phase 1 clinical trial services in Australia

27. The ACCC considered the proposed acquisition would be likely to have the effect of substantially lessening competition in the market for the supply of phase 1 clinical trial services in Australia, by bringing the two largest providers of phase 1 clinical trial services, based on phase 1 clinical trial bed capacity, in Australia under common ownership and lessening the competitive constraints on these providers.
28. The ACCC considered common ownership of Nucleus and CMAX would be likely to lead to the prices of phase 1 clinical trial services in Australia being higher and/or the quality of those services being lower, than they would be absent the proposed acquisition.

Market definition

29. The ACCC's starting point for identifying the markets that would be affected by the proposed acquisition is to ascertain the areas of overlap between the products actually or potentially supplied by the merger parties. The ACCC then considers other actual or potential suppliers of those products, as well as what other products constitute sufficiently close substitutes to provide a significant source of constraint on the combined entity.
30. The ACCC considered that the relevant market was the supply of phase 1 clinical trial services in Australia. The ACCC considered that alternative providers of phase 1 clinical trial services in Australia were likely to impose the strongest competitive constraint on Nucleus and CMAX. Based on material provided to the ACCC, the ACCC understands that Australian providers of phase

¹ Australian Taxation Office, [Eligibility for R&D tax offsets](#), accessed October 2024.

1 clinical trial services are typically 25-30% cheaper than US and European providers, produce high quality results that readily transfer to other jurisdictions for subsequent phase trials and are able to commence new trials in 4-6 weeks compared with up to 6 months in the US.

31. The ACCC considered that overseas providers of phase 1 clinical trial services impose a more limited competitive constraint on Australian providers taking into account the benefits associated with the CTN scheme, the quality and usability of data obtained through phase 1 clinical trials undertaken in Australia and R&D tax incentive.

Competition analysis

32. Nucleus and CMAX are the two largest suppliers of phase 1 clinical trial services in Australia. The ACCC considered that they are each other's closest competitors. Both Nucleus and CMAX focus on providing phase 1 clinical trial services to biotechnology and pharmaceutical companies based both in Australia and internationally.
33. Data available to the ACCC shows that a combined Nucleus and CMAX would account for approximately 60% of the phase 1 clinical trial bed capacity in Australia. The ACCC considered that bed numbers may be representative of the general capacity of phase 1 clinical trial service providers, but notes specialist skills and experience are required to successfully deliver phase 1 clinical trial services. In particular, certain types of trials may require specific skills and equipment or may not require volunteers to be contained overnight or use beds.
34. The ACCC received market feedback from industry participants which indicated that CMAX is an effective competitor to Nucleus, with most considering CMAX to be Nucleus' closest competitor.
35. The ACCC considered that competition from existing providers of phase 1 clinical trial services in Australia would not be likely to sufficiently constrain a combined Nucleus and CMAX. The ACCC considered that other Australian providers of phase 1 clinical trial services including those identified at paragraphs 23 to 26 have more limited bed capacity and differing levels of expertise, including that some providers focus on trials for different therapeutic areas (for example vaccine development and oncology clinical trials). Due to these differences, alternative providers may not be a realistic alternative to Nucleus and CMAX for all sponsors.
36. Market feedback indicated that the barriers to commence supply of phase 1 clinical trial services are relatively high and that it can take a number of years to develop effective phase 1 clinical trial expertise. The ACCC considered that the likelihood of timely and effective new entry was relatively low.
37. As such, the ACCC considered that post acquisition, a combined Nucleus and CMAX would likely be able to profitably increase prices and/or decrease service quality for customers of phase 1 clinical trial services in Australia.
38. The ACCC concluded that, without the Undertaking, the proposed acquisition would be likely to have the effect of substantially lessening competition in the supply of phase 1 clinical trial services in Australia.

Competition analysis in respect of the supply of CRO services in Australia

39. The ACCC considered the proposed acquisition may have substantially lessened competition in the provision of CRO services by increasing Blackstone's ability and incentive to foreclose rival CROs to Precision for Medicine from accessing phase 1 clinical trial services provided by Nucleus and CMAX. This may have substantially lessened competition if those rivals could not access competitively effective alternative providers of phase 1 clinical trial services.
40. The ACCC considered that CROs play an important role in Australia by assisting sponsors to select phase 1 trial sites, and overseeing trials that are being undertaken. Many international drug sponsors, particularly those with no Australian operations, also rely on CROs with operations in Australia to act as an Australian sponsor, as having an Australian sponsor is a regulatory requirement to conduct clinical trials in Australia.
41. The ACCC considered that Blackstone having ownership interests in the two largest providers of phase 1 clinical trial services and the Precision for Medicine CRO may have increased Blackstone's ability and incentive to foreclose rival CROs by restricting their access to phase 1 clinical trial services provided by Nucleus and CMAX.
42. Ultimately the ACCC did not reach a concluded view on these issues as the Undertaking addresses any potential competition concerns in the supply of CRO services in Australia that may have otherwise arisen.

Undertaking

43. In order to address the ACCC's competition concerns in relation to the supply of phase 1 clinical trial services in Australia, Blackstone through BXJB II Holding KK (**BXJB**), a subsidiary of Blackstone, offered an Undertaking pursuant to section 87B of the Act.
44. The ACCC considered that the Undertaking addresses its competition concerns with the proposed acquisition as it requires BXJB to divest the CMAX business to an ACCC-approved purchaser, effectively removing the overlap between the parties in Australia. The Undertaking aims to maintain CMAX as a viable, effective, stand-alone, and independent competitor for the supply of phase 1 clinical trial services in Australia.
45. A copy of the Undertaking is available on the ACCC public informal merger reviews register and section 87B undertakings register. A brief summary of the Undertaking is set out below:
 - BXJB will divest the CMAX business to an ACCC-approved purchaser that will result in the maintenance of a viable, effective, stand-alone, independent and long-term competitor for phase I clinical trial services in Australia
 - BXJB will ensure that the purchaser has all of the necessary associated assets and rights to compete effectively with Nucleus in the supply of

phase 1 clinical trials services in Australia, and in the supply of contract research organisations CRO services in Australia

- BXJB must maintain the economic viability, marketability, competitiveness and goodwill of the CMAX business prior to divestiture
- BXJB must appoint and maintain an ACCC-approved independent auditor for the effective oversight of BXJB's compliance with the Undertaking.

Conclusion

46. Based on the above analysis, the ACCC considered that Blackstone's proposed acquisition of I'rom in the absence of the Undertaking, would be likely to have the effect of substantially lessening competition in the supply of phase 1 clinical trial services in Australia and may have the effect of substantially lessening competition in the provision of CRO services in Australia.
47. However, the ACCC considers that the Undertaking addresses these competition concerns such that, with the Undertaking, the proposed acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in any market.